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- ✓ Costs Involved in Buying an Option
  - ✓ Option Premium: Based on asset price, time to expiry, volatility, and interest rates.
  - ✓ Exchange Fees: Charged by the exchange for the transaction.
  - ✓ Brokerage Charges: Paid to your broker for executing the trade



The brokerage fee will vary from broker to broker. The exchange fees are typically quite small and are passed on to you by the broker. Certain exchanges also levy transaction fees in the form of stamp duties. Your broker will also pass these on to you. The broker will also collect charges on SEBI's behalf. These get levied at a fixed rate of ₹5 per ₹1 crore in transaction value.

Finally, you must pay an 18% goods and services tax (GST) on the brokerage and transaction fees. It gets combined with the brokerage amount. **Being careful about the related expenses is essential for options trading. It ensures smoother transactions, higher profitability, and overall peace of mind.**